

26VECV00061 26VECV00061

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Case Number: 26VECV00061 Hearing Date: July 29, 2026 Dept: B

Tentative Ruling

Santoro v. Anderson, Case no. 26VECP00061

Hearing date July 29, 2026

Petitioner/Cross-Defendant

Santoro's Demurrer with Motion to Strike the First Amended Cross-Complaint

Petitioner

Santoro filed a petition for judicial dissolution of respondent corporation Topanga Canyon Place, Inc. ("TCP"). Petitioner, alongside respondents Anderson and Mazurek, founded TCP as a commercial real estate holding company. Petitioner alleges a deadlock over corporate management and requests dissolution. TCP and Anderson cross-complain against petitioner for breach of oral contract, breach of fiduciary duty and declaratory relief. Petitioner demurs and moves to strike punitive damages allegations. Cross-complainants oppose.

This

matter is the junior related matter of LASC Case no. 26VECV00459, on which Santoro's demurrer with motion to strike is set for hearing the same day, 7/29/26.

Petitioner

requests judicial notice of: (1) verified fourth amended complaint in Santoro v. Anderson, LASC Case no. 26VECV00459, filed 4/20/26; and (2) California Articles of Incorporation of TCP. GRANTED pursuant to Evid. Code §452(d), (h).

Cross-Complainants

request judicial notice of: (1) the fact that annual property taxes in California are due in two installments: November 1, delinquent as of December 10; and February 1, delinquent as of April 10; and (2) Kim declaration. GRANTED pursuant to Evid. Code §452(d), (h).

Petitioner/Cross-Defendant Santoro's Demurrer to FACC

"The

function of a demurrer is to test the sufficiency of the complaint as a matter of law." *Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420. A complaint "is sufficient if it alleges ultimate rather than evidentiary facts," *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. *Doheny Park Terrace Homeowners Ass'n., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.

Petitioner

demurs to the cause of action for breach of oral or implied contract. The elements are: (1) existence of a contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) resulting damages. *Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 820. Petitioner argues oral shareholder agreements are disallowed under California law, so cross-complainants cannot show existence of an enforceable contract. Petitioner argues the statute of limitations on an oral breach of contract claim is 2 years per Code Civ. Proc. §339.

The

FACC alleges petitioner and Anderson entered into an oral agreement to equally share profits and losses from TCP. FACC, para. 47. The FACC alleges petitioner and Anderson entered into an implied contract by sharing in TCP's profits and losses. *Id.* at para. 48. The FACC alleges petitioner breached the agreement in 2023 by failing to contribute to property taxes and insurance premiums. *Id.* at para. 50.

Cross-complainants

argue the breach of contract claim is not time-barred, as a cause of action does not accrue until all the elements are met. Cross-complainants argue the

damages did not accrue until petitioner's alleged failure caused TCP to be at risk of delinquency.

Claims

for breach of oral contract must be brought within two years of the alleged breach. Code Civ. Proc. §339. The statute of limitations begins to run when the breach occurs. *Piedmont Capital Mgmt., LLC v. McElfish* (2023) 94 Cal.App.5th 961, 968. The act identified as the breach is alleged failure to contribute to property taxes, alleged to have occurred in July 2023. FACC, paras. 26, 48, 50-51. The cross-complaint was filed 3/26/26, over two years after 2023. SUSTAINED with 15 days leave to amend as to statute of limitations.

Petitioner

demurs to the second cause of action for breach of fiduciary duty. Majority or controlling shareholders owe a fiduciary duty to minority or non-controlling shareholders and to the corporation to use their ability to control the corporation in a fair, just, and equitable manner. See *Sheley v. Harrop* (2017) 9 Cal.App.5th 1147, 1171. This does not apply to minority shareholders. *Id.*

Officer

and directors owe a fiduciary duty to the corporation and to its beneficiaries to perform their duties in good faith, in a manner such director[s] believe[d] to be in the best interests of the corporation and its shareholders and with such care, including reasonable inquiry, as an ordinarily prudent person in a like position would use under similar circumstances. *Id.*; see also *Singhania v. Uttarwar* (2006) 136 Cal. App. 4th 416, 426. The statute of limitations for fraud-based breach of fiduciary claims is three years. *Thomson v. Canyon* (2011) 198 Cal. App. 4th 594, 607. Petitioner argues "[Anderson] is only allowed to look at Mr. Santoro's acts from May 22, 2023 - July 25, 2023 as to the alleged Breach of Fiduciary Duty." Reply, 4:5-7.

The

FACC contains no allegations that petitioner was a majority or controlling shareholder, merely a 50% shareholder. See FACC para. 56. Petitioner offers no caselaw on whether a 50% shareholder constitutes a majority or minority shareholder. Such is a factual determination not appropriate for demurrer.

The FACC alleges petitioner was removed as board

member on 7/25/23, the date he allegedly breached his fiduciary duties. Id. at para. 33. The bases of the alleged breach sound in fraud, including allegations that petitioner: (1) attempted to extort Anderson; (2) refused to make his portion of contributions to TCP's property taxes; (3) "bill[ed] extravagant personal expenses to the company and abandon[ed] his job duties;" and (4) stole proprietary information from TCP's corporate tenants and attempted sell said information to a competitor. Id. at paras. 61-70. The FACC alleges petitioner acted with fraud, oppression or malice. Id. at 77. No dated allegations predate 7/25/23. The three-year statute of limitations for breaches alleged to have occurred on 7/25/23 expired on 7/25/26. The cross-complaint was timely filed on 3/26/26. OVERRULED.

Petitioner

demurs to the claim for declaratory relief, arguing the settlement in the related action waives all claims for declaratory relief. Plaintiff argues the settlement agreement contains general and Civ. Code §1542 waivers. See RJN 1, sections 2-3. The waiver covers "any and all causes of action, claims, suits, compensation, demands, damages, costs, expenses and liabilities of any kind, known or unknown, which any party now has or might hereafter have against the Released Parties." Id. Plaintiff argues breach of fiduciary duty claims have been waived.

Cross-complainants

argue they are permitted to advance alternative theories of liability, asserting both breach of contract claims and claims that the settlement agreement and asset purchase agreement are unenforceable as fraudulently induced. "A plaintiff may plead inconsistent causes of action." Batta v. Hunt (2024) 106 Cal.App.5th 295, 304. The FACC requests adjudication of issues that arose after the November 2023 settlement agreement was signed. See FACC, para. 81(a)-(m). The settlement agreement contains no waiver as to future, unaccrued claims. See RJN 1. OVERRULED.

Petitioner/Cross-Defendant Santoro's Motion to Strike

As

the court sustained petitioner's demurrer to the first cause of action with leave to amend, the motion to strike is MOOT.